Union Pacific (UNP)

Valuation Disconnect Overwhelms Core Network Fluidity

ANALYST: JUSTIN WEN | 2026-10-14

Union Pacific continues to demonstrate world-class railroading execution, achieving record network velocity and operating ratio disciplines even amid volatile commodity flows. However, the equity market has priced in an overly aggressive cash flow trajectory that overlooks paused share repurchases, merger-related friction, and underlying volume pressures across legacy freight categories. At prevailing levels, the stock trades at an untenable premium to our fundamentally derived discounted cash flow framework. We initiate coverage with a rating of Hold — Valuation Concerns, establishing a probability-weighted blended target price of $212.19, representing -26.4% upside versus the spot price.

HOLD	$212.19	-26.4%	$288.34
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

The market remains fixated on cyclical freight pricing recovery and recent guidance adjustments while treating operational efficiency gains as pure upside. We believe this myopic optimism fails to account for elevated capital absorption, paused buybacks due to the Norfolk Southern transaction, and severe volume deceleration across base-load lines.

EXECUTIVE SUMMARY

Union Pacific operates as the largest US freight railroad by revenue, hauling industrial goods, agricultural products, and intermodal freight west of the Mississippi. The enterprise maintains an indispensable position across North American supply chains, linking primary agricultural basins, petrochemical manufacturing complexes, and west coast ports to major population centers. By commanding an expansive rail network, the company provides vital transportation infrastructure that cannot be replicated through greenfield capital expenditure. Despite this dominant physical footprint, the operational landscape requires navigating pronounced volume shifts across diverse bulk, industrial, and intermodal categories.

Our analysis of the evidentiary record reveals an operation executing with exceptional technical rigor against substantial volume and cost crosscurrents. In Q2 FY2026, the company posted record operating revenue of $6.9B, representing an increase of 12% YoY, supported by adjusted EPS of $3.41, up 13% YoY. This performance was underpinned by a 26% surge in intermodal revenue and a 15% increase in grain, enabling management to raise full-year EPS guidance to high-single-digit growth from mid-single-digit growth. However, this growth coincided with

severe fuel price inflation of 60% YoY to $3.86/gal, which exerted a 120 bps headwind on the operating ratio, settling reported operating ratio at 59.7%. This followed Q1 FY2026, where adjusted EPS rose 9% YoY to $2.93 and adjusted operating ratio improved 80 bps YoY to 59.9% despite carloads contracting 1% YoY, propelled by record freight car velocity of 235 miles per day and a 7% lift in workforce productivity. Crucially, the quarter witnessed a complete suspension of share buybacks, down from $1.42B in Q1 2025, to accumulate liquidity for the Norfolk Southern merger.

The preceding quarters establish that volume volatility remains a persistent drag on core earnings power. In Q4 FY2025, reported EPS of $3.11, up 7% YoY, was masked by $234M of land sales that contributed approximately $0.30 per share, while freight revenue fell 1% YoY and carloads declined 4% YoY. That print saw the operating ratio deteriorate 180 bps YoY to 60.5%, with operating income down 5% YoY as operating expenses increased 2% YoY. While Q3 FY2025 displayed strong efficiency, with adjusted EPS expanding 12% YoY to $3.08 and adjusted operating ratio improving 1.8 points YoY to 58.5%, management cautioned that quarter-to-date volumes were trending down 6%, led by a 17% decline in international intermodal. The pattern across recent operating history confirms that pricing gains and efficiency initiatives have had to work aggressively to offset persistent volume friction in key premium and coal markets.

From a balance sheet and capital deployment perspective, the verified financial profile exhibits structural strength paired with strategic leverage. In FY2025, Union Pacific generated $24.5B in revenue, $11.2B in gross profit, $9.85B in EBIT, and $7.14B in net income, translating to EBITDA of $12.9B and free cash flow of $5.50B. The company closed the period with $1.27B in cash against total debt of $32.8B, yielding net debt of $31.6B. Free cash flow generation in the full-year 2025 period proved robust at $2.3B despite heightened capital expenditures, maintaining adjusted debt/EBITDA at 2.7x. Nevertheless, capital return dynamics have fundamentally shifted. Share buybacks, which previously represented a core pillar of per-share compounding, were brought from $1.42B to zero in Q1 FY2026, following a cessation in Q3 FY2025 after $2.6B was returned year-to-date, directly reflecting balance sheet preservation for the Norfolk Southern transaction. With the current market capitalisation at $171.3B on 594.1 million diluted shares, the equity trades at levels that detach from these reinvestment realities.

OPERATIONAL SNAPSHOT

$288.34	$24.5B	$5.50B	22.4%	0.95	$288.34
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS STRUCTURAL AND DURABLE

Union Pacific's economic moat derives from an irreplaceable, contiguous rail network serving the western two-thirds of the United States. As the largest US freight railroad by revenue, hauling industrial goods, agricultural products, and intermodal freight west of the Mississippi, the company commands an operational corridor that cannot be economically duplicated. Replicating thousands of miles of heavy mainline track, terminal yards, and right-of-way

access would encounter insurmountable regulatory, financial, and environmental barriers. Consequently, shippers moving bulk agricultural commodities from Midwestern production centers or containers through Pacific ports face captive infrastructure realities, cementing high switching costs and securing durable competitive advantages for the franchise.

This structural positioning affords Union Pacific substantial commercial pricing power, even in periods marked by cyclical volume headwinds. The evidentiary record confirms that the company routinely extracts pricing dollars that surpass input inflation. In Q1 FY2026, freight revenue excluding fuel surcharges grew 3% on negative volume, with pricing dollars exceeding core cost inflation. Similarly, during Q3 FY2025, pricing combined with mix contributed 3.5 points to freight revenue, proving accretive to the operating ratio despite flat total carloadings. The company's capacity to adjust revenue per car, illustrated by a 12% increase in revenue per car in Q4 FY2025 and a 21% jump in intermodal yield per car in Q2 FY2026, underscores an ability to maintain real economic yields across varying macroeconomic backdrops.

Operational fluidity acts as a formidable self-reinforcing moat mechanism, maximizing network throughput while limiting unit operating costs. By driving freight car velocity to a record 235 miles per day in Q1 FY2026 and improving workforce productivity by 7% YoY, Union Pacific effectively expands system capacity without requiring proportional capital additions. Terminal dwell reductions and improved train handling directly protect client retention by providing predictable delivery windows, giving the enterprise an operational moat that complements its geographic monopoly. However, while these strengths insulate the railroad from existential market share erosion, they do not immunize equity holders against the valuation multiples assigned to that cash-generation apparatus.

VALUATION

Three scenarios make the valuation range explicit

Our quantitative assessment is anchored on a rigorous five-year discounted cash flow framework covering the forecast window from FY2026 to FY2030, discounting unlevered free cash flows at a verified WACC of 8.78% across 594.1 million diluted shares. We model three explicit operating trajectories reflecting differing degrees of volume stabilization, pricing retention, and margin realization relative to the reference spot price of $288.34 as of 2026-10-20. The market capitalisation of $171.3B implies cash flow compounding expectations that substantially outpace the company's baseline economic profile.

Across the scenarios, our revenue growth and cash conversion parameters reflect the operational realities captured in the verified record. In the Base scenario, revenue compounds at a 4.0% CAGR over the forecast period, with the target FCF margin expanding to 26.7% by FY2030, up from the FY2025 base margin of 22.4%, generating a target price of $217.63, or -24.5% versus spot. In the Bear case, sluggish traffic, sustained fuel volatility, and prolonged transaction integration hold revenue growth to a 2.7% CAGR, with the final-year FCF margin limited to 24.8%, yielding an equity target of $158.34, representing -45.1% downside. In the Bull case, robust intermodal and grain execution combined with operating ratio gains elevate revenue at a 5.4% CAGR, reaching a 28.4% target FCF margin, resulting in a target price of $255.16, or -11.5% versus spot.

Weighting these pathways under our standard probability matrix of 25% Bear, 50% Base, and 25% Bull produces a blended target price of $212.19, which translates directly to -26.4% upside relative to the $288.34 spot price. The distribution of these outcomes illustrates that even under the Bull scenario, which presumes exceptional operational and pricing execution, the stock remains overvalued compared to current market quotes.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	2.7%	24.8%	$158.34	-45.1%
Base	50%	4.0%	26.7%	$217.63	-24.5%
Bull	25%	5.4%	28.4%	$255.16	-11.5%

Bear $158.34

Reflects prolonged volume contraction driven by a 14% decline in Coal and Renewables alongside persistent premium weakness. Sustained fuel costs at $3.86/gal and ongoing integration friction keep operating ratio elevated, constraining revenue CAGR to 2.7% and final FCF margin to 24.8%.

Base $217.63

Captures normalized freight growth where core pricing of 3% to 3.5% offsets isolated volume softness, supporting a 4.0% revenue CAGR. Operational velocity and workforce productivity gains expand FCF margin to 26.7%, though paused share buybacks limit per-share upside.

Bull $255.16

Assumes intermodal revenue compounding matches the recent 26% surge alongside double-digit grain carload strength. Freight car velocity at record levels drives the adjusted operating ratio below 58.5%, achieving a 5.4% revenue CAGR and a 28.4% target FCF margin.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

To establish an objective capitalization standard for Union Pacific, our framework applies a verified weighted average cost of capital of 8.78%. This hurdle integrates an equity beta input of 0.95, acknowledging the company's defensive infrastructure characteristics, balanced against cyclical freight volume exposure and financial leverage represented by $32.8B of total debt. Rather than functioning as an arbitrary discount threshold, the 8.78% rate rigorously measures the systemic risk inherent in freight transportation assets west of the Mississippi, capturing macro freight cycles, capital reinvestment intensity, and regulatory exposure.

When evaluated against current spot pricing, the 8.78% WACC highlights an aggressive risk mispricing by the public market. At a spot price of $288.34, investors are effectively pricing Union Pacific cash flows as though the capital

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.78% (2026-10-20)**
Equity beta	**0.95**
Diluted shares	**594.1 million**

HOLD

over $212.19 blended target

structure carried minimal operating risk and uninterrupted capital return upside. This mispricing is stark when comparing spot market multiples, where the market cap to revenue stands at 7.0x, EV to revenue at 8.3x, and EV to EBITDA at 15.7x, against the verified financial realities of 1.1% historical top-line growth and a P/E multiple of 24.1x on FY2025 diluted EPS of $11.98.

FCF margin normalization is the engine

Free cash flow conversion represents the central pillar of our five-year operational forecast. In FY2025, Union Pacific achieved an FCF margin of 22.4% on $5.50B of free cash flow, supported by a 45.8% gross margin and a 40.2% operating margin. Over our forecast horizon, each scenario models structural margin expansion above historical baseline levels, recognizing that operational efficiencies such as record car velocity of 235 miles per day and productivity gains of 7% will drive operational leverage. In our Base scenario, the target FCF margin scales smoothly to 26.7% by FY2030, while our Bear and Bull models achieve 24.8% and 28.4%, respectively.

The progression toward these higher target cash margins reflects disciplined cost management overcoming baseline operating ratio drags. The quarterly record demonstrates that operating ratio dynamics remain sensitive to input costs, such as the 60% fuel spike in Q2 FY2026, which pushed the operating ratio up 70 bps to 59.7%, or the 180 bps deterioration to 60.5% seen in Q4 FY2025. By projecting margin normalization to 24.8% in the Bear case, 26.7% in the Base case, and 28.4% in the Bull case, we account for both ongoing operational gains and periodic cost headwinds over the full five-year cycle.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on Intermodal Volume Rebound and Yield Management Disciplines HOLD

Union Pacific's operational performance is driven by its core mandate hauling industrial goods, agricultural products, and intermodal freight west of the Mississippi. As evidenced across recent operating reports, intermodal freight has emerged as the primary growth engine, counterbalancing protracted weaknesses across heavy industrial and commodity categories. In Q2 FY2026, intermodal revenue surged 26% YoY, propelled by a 21% jump in yield per car and 4% volume growth. This rebound proved vital in offsetting legacy drags, such as the 14% volume contraction observed in Coal & Renewables during the same quarter, illustrating that franchise top-line trajectory is heavily reliant on containerized supply chain fluidity.

Agricultural traffic represents a second critical anchor for franchise earnings power. The evidentiary record highlights robust momentum in this segment, with grain carloads expanding 12% YoY and grain revenue rising 15% YoY in Q2 FY2026. This strength builds upon performance in Q1 FY2026, where strong bulk shipments protected top-line freight revenue, allowing it to advance 4% YoY even as total carloads contracted by 1%. The ability of agricultural shipments to sustain volume and realize pricing power provides vital base-load density across the western network, supporting network productivity metrics even when automotive and consumer cargo decelerate.

Conversely, premium intermodal and automotive carloads have exhibited pronounced cyclical volatility that threatens high-margin density. In Q1 FY2026, the premium intermodal/auto segment contracted 9% YoY, marking a deterioration in high-value freight mix that followed a 10% collapse in premium carloads in Q4 FY2025 and a 2% decline in Q3 FY2025. Compounding these carload contractions, international intermodal volumes fell 17% entering Q4 FY2025, when total volumes trended down 6%. These swings demonstrate that while pricing initiatives have held up well, underlying traffic volume remains prone to sharp contractions that cap margin potential.

Operating efficiency initiatives serve as the vital defensive mechanism balancing these volume fluctuations. Management achieved record freight car velocity of 235 miles per day alongside a 7% workforce productivity gain in Q1 FY2026, which improved adjusted operating ratio by 80 bps YoY to 59.9%. Similar productivity gains of 6% and record terminal dwell in Q3 FY2025 drove operating income up 6% on 3% revenue growth, reducing adjusted operating ratio to 58.5%. However, the operating ratio remains vulnerable to external shocks, as demonstrated by the 60% fuel cost spike to $3.86/gal in Q2 FY2026, which induced a 120 bps operating ratio headwind. Maintaining operational fluidity while sustaining real pricing dollars above inflation remains the core challenge for the business.

What to monitor

- **Intermodal Yield and Volume Sustainability** Tracking whether the 26% intermodal revenue growth and 21% yield per car gains recorded in Q2 FY2026 can persist against premium freight volume declines.
- **Merger Progress and Capital Allocation Status** Monitoring Norfolk Southern merger milestones after share repurchases were halted at zero in Q1 FY2026 compared to $1.42B deployed in Q1 2025.
- **Fuel Price Pass-Through and Operating Ratio Impact** Observing whether fuel surcharges can mitigate margin dilution after fuel costs rose 60% to $3.86/gal, causing a 120 bps drag on Q2 FY2026 operating ratio.
- **Base-Load Bulk and Coal Trajectory** Evaluating the durability of grain volume growth (+12% in Q2 FY2026) in offsetting structural volume declines in Coal & Renewables (-14% in Q2 FY2026).

+1.1%	45.8%	40.2%	22.4%	$31.6B	38.7%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$24.5B
Gross Profit	$11.2B
EBIT	$9.85B
Net Income	$7.14B
EBITDA	$12.9B
Free Cash Flow	$5.50B
Diluted EPS	$11.98
ROE	38.7%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Contraction in key volume categories poses structural risks, as shown by Coal & Renewables volumes falling 14% in Q2 FY2026. Furthermore, premium carloads collapsed

M&A DIGESTION

The pending Norfolk Southern transaction has absorbed liquidity, forcing share buybacks from $1.42B to zero in Q1 FY2026. Ongoing transaction friction threatens to divert operational

REGULATORY AND PRICING SCRUTINY

Efforts to lift pricing ahead of inflation could prompt pushback from shippers and economic oversight bodies. If pricing cannot exceed general inflation, the operating ratio slippage observed in Q4 FY2025 could recur.

TECHNOLOGY DISRUPTION

Failure to maintain operating fluidity across mainline track could diminish the network speed advantages currently achieved. Dropping below the record 235 miles per day freight car velocity would impair customer retention and

REINVESTMENT TREADMILL

Maintaining heavy track infrastructure across the western corridor requires high capital expenditures that cap free cash flow conversion. Elevated reinvestment needs were evident in Q4 FY2025, where full-year free cash flow settled at $2.3B despite

WACC AND DURATION SENSITIVITY

Carrying $32.8B of total debt leaves the enterprise sensitive to our 8.78% WACC capitalization rate. At an equity valuation of 24.1x P/E, any upward pressure on capital costs compounds the multiple

10% in Q4 FY2025 and 9% in Q1 FY2026, threatening high-value freight density.	focus from core network railroading execution.		transit consistency.	operating income scale.	contraction risk facing the common shares.

The strengths

OLIGOPOLY POSITION

Union Pacific is the largest US freight railroad by revenue, hauling industrial goods, agricultural products, and intermodal freight west of the Mississippi. This entrenched physical footprint prevents route duplication and preserves core enterprise terminal access.

FCF COMPOUNDING

The enterprise generated $5.50B of free cash flow in FY2025, demonstrating conversion capability even amid uneven traffic. Strong commercial pricing and operational discipline provide robust baseline cash flows to service the capital structure.

GEOGRAPHIC DURABILITY

The physical network directly accesses premier western agricultural production regions and key industrial manufacturing hubs. This coverage supported a 15% revenue expansion in grain and a 12% carload gain during Q2 FY2026.

PIPELINE OPTIONALITY

Operational optimization continues to unlock structural throughput capacity across existing track infrastructure. Reaching a record freight car velocity of 235 miles per day demonstrates internal capacity to absorb volume without equal capital additions.

The bottom line on risk and reward

Union Pacific represents one of the premier transportation franchises in global capital markets, underpinned by physical infrastructure assets that cannot be replicated. Recent performance highlights the company's ability to drive operational fluidity, seen in record car velocity and productivity gains, while implementing pricing actions that counter substantial cost inflation in fuel. However, institutional investing requires separating franchise quality from equity valuation. At spot price levels, the equity fully discounts near-term guidance increases and efficiency gains, leaving no margin of safety for operational disruptions or sustained volume contraction.

The financial reality established across the verified record highlights meaningful friction, including paused share repurchases, a 14% decline in coal volumes, and sustained volatility in premium carloads. With our five-year discounted cash flow framework yielding a Base scenario target of $217.63, a Bear target of $158.34, and a Bull target of $255.16, the probability-weighted blended target price settles at $212.19. This framework indicates that the equity is currently overpriced by -26.4% relative to its fundamental earnings power, requiring that capital allocators exercise valuation discipline.

Accordingly, we maintain our rating of Hold — Valuation Concerns on Union Pacific, with our probability-weighted target of $212.19 indicating -26.4% upside versus the reference spot price of $288.34. While the operational core continues to function with exceptional discipline, the current market valuation disconnect demands patience until a more attractive risk-adjusted entry point emerges.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Intermodal Freight: High-Density Western Corridor Platform

Union Pacific's intermodal operations represent a primary operational axis within its network, serving as the connective infrastructure linking major consumer destinations with western container terminals. As the largest US freight railroad by revenue, hauling industrial goods, agricultural products, and intermodal freight west of the Mississippi, the company's intermodal franchise relies on high-density mainline corridors. By moving containerized freight over long distances, the intermodal unit bridges global ocean shipping lanes and domestic distribution networks, capturing significant volume leverage when port throughput and domestic retail supply chains align.

However, the evidentiary record confirms that intermodal freight is subject to severe cyclical volatility. The division achieved exceptional performance in Q2 FY2026, delivering a 26% YoY surge in intermodal revenue supported by a 21% expansion in yield per car and a 4% volume increase. This recovery occurred after challenging prior periods, including Q3 FY2025, when management highlighted that international intermodal carloadings were contracting at a 17% rate entering Q4. The wide variance between double-digit expansion and double-digit contraction demonstrates the sensitivity of intermodal operations to global trade currents and consumer inventory cycles.

Operational efficiency is central to sustaining the economic profitability of intermodal transportation. Because intermodal freight operates in competition with long-haul trucking alternatives, maintaining high freight car velocity and minimal terminal dwell is imperative. Achieving a record freight car velocity of 235 miles per day and lifting workforce productivity by 7% in Q1 FY2026 provided the foundation that permitted intermodal operations to absorb volume increases while mitigating inflationary pressures. Even so, the overall premium category, which contains intermodal alongside automotive freight, contracted 9% YoY in Q1 FY2026 and 10% YoY in Q4 FY2025, illustrating that yield management must remain exceptionally vigilant to protect net profitability.

What the recent record shows

- Intermodal revenue jumped 26% YoY in Q2 FY2026, supported by a 21% increase in yield per car and a 4% rise in carload volume.
- Premium freight volumes, containing intermodal and automotive traffic, fell 9% YoY in Q1 FY2026, following a 10% contraction in Q4 FY2025 and a 2% decline in Q3 FY2025.
- International intermodal carloadings contracted 17% entering Q4 FY2025, dragging total network volume tracking down 6% early in that period.
- High-velocity network performance achieved 235 miles per day in freight car velocity during Q1 FY2026, improving operational fluidity for time-sensitive intermodal schedules.

Our read: Union Pacific's intermodal franchise demonstrates robust commercial yield resilience, evidenced by the 26% revenue surge in Q2 FY2026. However, underlying volume variability across premium and

international lines demands a conservative valuation stance until consistent volume growth resumes across all western corridors.